

TST Risk Framework

The complete guide to protecting your account before you place a single trade.

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Before you risk a single dollar, you need a framework that protects you from the mistakes that blow up most new traders. Risk management is not optional — it is the difference between staying in the game long enough to get good and going to zero before you learn anything.

RULE 1

The 1% Rule

Never risk more than 1% of your total account on a single trade. On a \$10,000 account, your maximum loss per trade is \$100. This keeps you alive long enough to become consistently profitable.

RULE 2

Daily Max Loss

Set a daily maximum loss of 3% of your account. The moment you hit it, stop trading for the day. A bad day becomes a catastrophe when you keep trading to get it back.

RULE 3

Stop Placement

Your stop loss defines when you are wrong. Place it below support for longs, above resistance for shorts. Never move it further from your entry to avoid a loss.

RULE 4

Position Correlation

Long NVDA, AMD, and TSMC simultaneously is not three trades — it is one large bet on semiconductors. Correlated positions multiply your real risk.

POSITION SIZING FORMULA

Shares = (Account × Risk %) ÷ (Entry - Stop)

Example: \$10,000 account · 1% risk · Entry \$50 · Stop \$48 = 50 shares maximum

POSITION SIZING BY ACCOUNT SIZE

ACCOUNT SIZE	1% RISK (\$)	ENTRY \$50 / STOP \$48	ENTRY \$100 / STOP \$97	ENTRY \$200 / STOP \$195
\$5,000	\$50	25 shares	16 shares	10 shares
\$10,000	\$100	50 shares	33 shares	20 shares
\$25,000	\$250	125 shares	83 shares	50 shares
\$50,000	\$500	250 shares	166 shares	100 shares
\$100,000	\$1,000	500 shares	333 shares	200 shares

COMMON RISK MANAGEMENT MISTAKES

MISTAKE	WHY IT HAPPENS	THE FIX
Moving the stop	Hope that the trade comes back	The stop was right when you set it — honor it
Averaging down	Price feels cheaper	Adding to losers turns small losses into blowups
Ignoring correlation	Positions look different	Check if they move together — treat them as one
Skipping position sizing	Feels like extra work	Calculate before every trade, not after
Trading after max loss	Trying to recover	Close the platform — tomorrow is a new day

TST RULE

A loss is only a problem if it is bigger than planned. Every losing trade that stays within your risk parameters is a good trade — you executed your plan. Every trade that exceeds your planned risk is a bad trade regardless of outcome.

This guide covers foundational risk principles. The full TST Academy course goes deeper into position sizing, scaling, and managing live risk in real time at topstocktrading.com